APPRAISAL REPORT

Ironwood Marketplace | Boston, MA

Subject Property	Ironwood Marketplace
Address	8662 Grand Way, Boston, MA 97874
Property Rights Appraised	Fee Simple
Effective Date of Value	July 7, 2019
Market Value Conclusion	$48,380,000

Demographics and Employment

Ironwood Marketplace is located in Boston, MA, a market that has recorded 12.0% population growth over the last five years. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Rent growth in the submarket has averaged 3.8% annually over the past 5 years. Average rent is $27 per square foot with parking at a ratio of 28 spaces per 1,000 square feet.

Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 5.50% and 5.50%. Ironwood Marketplace is located in Boston, MA, a market that has recorded 4.9% population growth over the last five years. Market vacancy for comparable Retail product stands at 5.1%, down from 3.1% two years ago. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Rent growth in the submarket has averaged 7.5% annually over the past 4 years.

Site Description

Access to the site is provided by 28 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 29.29 acres and is generally level with frontage along Grand Way.

The site contains approximately 44.44 acres and is generally level with frontage along Grand Way. Access to the site is provided by 10 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Supply and Demand

Median household income within a 3-mile radius of the property is approximately $296,000 and has grown 13.6% annually. Rent growth in the submarket has averaged 4.0% annually over the past 3 years. Ironwood Marketplace is located in Boston, MA, a market that has recorded 6.9% population growth over the last five years. Average rent is $27 per square foot with parking at a ratio of 25 spaces per 1,000 square feet. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 6.97% and 6.97%.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 3-mile radius of the property is approximately $427,000 and has grown 5.8% annually. Rent growth in the submarket has averaged 7.2% annually over the past 9 years. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 5.66% and 5.66%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Topography and Flood Zone

Access to the site is provided by 44 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 44.44 acres and is generally level with frontage along Grand Way. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Submarket Analysis

Median household income within a 7-mile radius of the property is approximately $449,000 and has grown 12.7% annually. Average rent is $27 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The Boston Retail market has experienced absorption of 4800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Employment growth is led by healthcare, logistics, education and professional services sectors. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 7.83% and 7.83%. Ironwood Marketplace is located in Boston, MA, a market that has recorded 10.4% population growth over the last five years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Median household income within a 2-mile radius of the property is approximately $429,000 and has grown 5.1% annually.

Site Description

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 36 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 12.12 acres and is generally level with frontage along Grand Way.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 5 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 21.21 acres and is generally level with frontage along Grand Way.

Supply and Demand

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Rent growth in the submarket has averaged 6.9% annually over the past 10 years. Market vacancy for comparable Retail product stands at 10.0%, down from 3.8% two years ago. Median household income within a 2-mile radius of the property is approximately $141,000 and has grown 4.8% annually.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Rent growth in the submarket has averaged 4.2% annually over the past 9 years. Ironwood Marketplace is located in Boston, MA, a market that has recorded 3.5% population growth over the last five years. Average rent is $27 per square foot with parking at a ratio of 38 spaces per 1,000 square feet.

Topography and Flood Zone

The site contains approximately 34.34 acres and is generally level with frontage along Grand Way. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 15 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

The site contains approximately 41.41 acres and is generally level with frontage along Grand Way. Access to the site is provided by 46 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Supply and Demand

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Construction Details

Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 10 years and are in average to good condition. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Average rent is $27 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Improvements Description

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Mechanical systems include rooftop package units and central plant equipment of varying age. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 32 stories.

Common area interiors have been refreshed within the last 8 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 2 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Average rent is $27 per square foot with parking at a ratio of 6 spaces per 1,000 square feet.

Building Systems

Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 38 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 12 years and are in average to good condition. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Mechanical systems include rooftop package units and central plant equipment of varying age.

Common area interiors have been refreshed within the last 4 years and are in average to good condition. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The roof is a 13-year membrane system with an estimated remaining useful life of 3 years.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Sable Town Center	San Diego, CA	03/17/2023	9	$51,944,596	$155	6.46%	1977
Cedar Crossing	Grand Rapids, MI	10/07/2025	18	$49,610,644	$148	8.04%	1981
Zephyr Shopping Center	Birmingham, AL	08/24/2022	16	$29,341,126	$87	7.02%	1990
Cobalt Shopping Center	Oklahoma City, OK	09/12/2025	12	$48,446,450	$144	7.84%	2016
Eastlake Shopping Center	Jacksonville, FL	11/28/2025	9	$23,907,782	$71	5.44%	2007
Whitaker Square	Des Moines, IA	03/12/2023	15	$43,682,187	$130	7.91%	1972
Redwood Town Center	Denver, CO	04/10/2023	10	$28,253,588	$84	6.20%	1969
Maple Town Center	San Antonio, TX	07/31/2022	10	$41,641,613	$124	7.10%	1986
Quarry Town Center	Milwaukee, WI	11/28/2022	6	$38,228,570	$114	6.87%	1986
Parkview Marketplace	Pittsburgh, PA	01/04/2024	16	$37,908,946	$113	5.08%	2006
Riverbend Square	Austin, TX	12/18/2023	8	$59,289,990	$176	6.46%	2003
Cobalt Marketplace	Jacksonville, FL	12/12/2023	13	$33,466,644	$100	6.83%	1980
Westgate Crossing	Buffalo, NY	02/05/2026	7	$61,349,640	$183	7.89%	2005
Alder Shopping Center	Denver, CO	02/14/2022	9	$31,876,929	$95	7.36%	2015
Ridgeline Town Center	Baltimore, MD	11/28/2024	6	$27,073,409	$81	6.30%	1968
Fairmont Marketplace	San Diego, CA	02/17/2023	12	$41,380,302	$123	6.88%	2020
Tidewater Marketplace	Columbus, OH	02/26/2026	7	$29,302,840	$87	5.69%	2023
Brookside Crossing	Oklahoma City, OK	11/27/2024	17	$44,395,324	$132	7.92%	2016
Pinecrest Marketplace	Des Moines, IA	01/12/2023	14	$52,963,489	$158	7.26%	2008
Sable Shopping Center	Denver, CO	12/26/2024	10	$59,855,693	$178	7.69%	1968
Cypress Crossing	Naperville, IL	06/26/2022	16	$49,592,636	$148	5.61%	1987
Oakmont Marketplace	Greenville, SC	04/22/2024	13	$47,457,535	$141	6.95%	2016
Copper Town Center	Naperville, IL	09/13/2023	8	$37,697,417	$112	7.01%	1990
Hawthorne Town Center	San Diego, CA	01/20/2026	9	$49,782,756	$148	5.65%	1978
Heritage Marketplace	Louisville, KY	05/29/2022	9	$29,730,092	$88	8.16%	1983
Hawthorne Crossing	Pittsburgh, PA	11/01/2022	8	$63,573,898	$189	7.41%	1988
Maple Square	Riverside, CA	05/28/2026	11	$26,223,853	$78	7.15%	2020
Newport Square	Salt Lake City, UT	04/22/2024	7	$29,798,138	$89	7.69%	2010
Driftwood Crossing	Charlotte, NC	11/08/2025	9	$66,894,085	$199	8.14%	2009
Glenview Shopping Center	Kansas City, MO	08/09/2026	8	$46,197,526	$137	5.25%	1985
Jasper Shopping Center	Detroit, MI	07/01/2026	16	$56,653,091	$169	7.41%	2023
Oakmont Town Center	Albuquerque, NM	09/06/2025	11	$19,769,090	$59	6.76%	1994
Crestline Square	Kansas City, MO	08/24/2025	17	$58,392,847	$174	6.65%	2001
Cobalt Crossing	Columbus, OH	01/16/2022	16	$28,120,985	$84	5.42%	2005
Quincy Square	Denver, CO	01/01/2022	15	$66,074,394	$197	6.21%	2020
Stonebridge Marketplace	Newark, NJ	11/14/2024	8	$24,142,562	$72	5.02%	1980
Birchwood Crossing	Norfolk, VA	06/07/2025	15	$41,362,329	$123	5.34%	1988
Yarrow Shopping Center	Cincinnati, OH	07/27/2026	10	$57,130,391	$170	7.72%	1983
Cobalt Shopping Center	Columbus, OH	02/03/2024	10	$45,598,652	$136	7.15%	2017
Calloway Shopping Center	Savannah, GA	08/27/2026	9	$41,197,006	$123	7.08%	1982
Wexford Marketplace	Tampa, FL	03/10/2023	14	$51,147,560	$152	6.94%	2010
Dover Town Center	Austin, TX	03/23/2023	14	$34,936,457	$104	6.47%	1973

Report generated 07/07/2019. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Financial Analysis

Debt service coverage ratio was 6.54x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.15% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Operating expenses totaled $339,000 or approximately 34.39 per square foot, with real estate taxes representing the largest line item.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 5.51% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $16,000, representing a 6.3% increase over the prior year.

Valuation Discussion

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 5.55% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $146,000 or approximately 28.70 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses.

Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Effective gross income for the trailing period was $410,000, representing a 4.4% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Operating expenses totaled $220,000 or approximately 12.88 per square foot, with real estate taxes representing the largest line item.

Valuation Discussion

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 5.02% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.32x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Windmill Marketplace	3.5 mi	2011	Studio	$26.52	93.3%	None
Birchwood Marketplace	4.7 mi	1985	Suite	$31.24	87.9%	None
Indigo Square	4.7 mi	2016	Bay	$24.83	88.5%	$500
Willow Square	0.9 mi	1986	Bay	$29.37	93.6%	1 mo. free
Newport Town Center	3.7 mi	1980	Suite	$29.20	95.3%	$500
Beacon Square	2.0 mi	1990	Studio	$25.70	94.6%	None
Foxglove Marketplace	4.8 mi	1982	Inline	$30.20	95.3%	None
Mesa Marketplace	3.4 mi	1993	1BR	$24.44	90.1%	1 mo. free
Aspen Square	1.0 mi	2005	1BR	$28.16	94.8%	1 mo. free
Valley Crossing	1.2 mi	2016	Unit	$25.13	93.2%	$500
Timberline Town Center	1.0 mi	1988	Bay	$27.41	88.1%	None
Meridian Marketplace	3.6 mi	2004	2BR	$26.76	92.0%	$500
Elmhurst Square	4.0 mi	1977	Studio	$23.53	86.1%	$500
Sable Marketplace	2.0 mi	2012	Studio	$30.21	95.9%	None
Magnolia Town Center	0.2 mi	2002	1BR	$26.75	89.3%	None
Oakmont Square	1.2 mi	1978	Bay	$30.63	97.2%	$500
Kingsley Town Center	3.9 mi	2018	Inline	$25.62	97.8%	$500
Everett Square	4.9 mi	2002	Suite	$23.42	86.3%	None
Aspen Square	3.5 mi	1987	2BR	$30.80	90.6%	None
Canyon Crossing	4.3 mi	1989	2BR	$23.74	91.9%	None
Calloway Crossing	4.7 mi	1983	Bay	$26.54	95.2%	None
Ironwood Shopping Center	1.1 mi	2020	2BR	$25.94	88.8%	1 mo. free
Lantern Shopping Center	3.8 mi	1981	Studio	$26.15	89.5%	None
Raven Crossing	4.8 mi	1976	2BR	$23.29	96.8%	$500
Windmill Shopping Center	2.3 mi	1970	2BR	$23.98	92.7%	1 mo. free
Pinecrest Marketplace	1.0 mi	1984	Studio	$30.04	93.2%	1 mo. free
Glenview Square	4.7 mi	1984	Inline	$23.24	94.0%	None
Timberline Square	1.8 mi	2016	Suite	$29.53	97.8%	$500
Glenview Crossing	2.5 mi	1994	2BR	$25.42	90.7%	None
Parkview Marketplace	1.2 mi	2006	2BR	$28.25	89.8%	None
Marlow Square	3.5 mi	2002	Studio	$23.31	95.4%	None
Osprey Town Center	1.5 mi	2014	Studio	$26.31	89.6%	None
Westgate Marketplace	0.9 mi	1987	Inline	$24.07	86.5%	None
Driftwood Shopping Center	0.3 mi	1971	Suite	$29.41	91.9%	$500
Ironwood Square	4.2 mi	1971	2BR	$23.99	89.6%	None
Calloway Crossing	3.1 mi	2006	Studio	$25.39	89.4%	$500
Magnolia Marketplace	1.5 mi	1987	1BR	$29.79	90.3%	None
Quarry Marketplace	1.5 mi	1977	Unit	$31.57	90.8%	None
Glenview Town Center	4.6 mi	1979	Bay	$30.96	94.4%	$500
Dover Square	2.0 mi	1981	Unit	$27.63	97.7%	None
Tidewater Square	5.0 mi	1996	Unit	$31.80	87.6%	$500

Report generated 07/07/2019. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Demographics and Employment

The Boston Retail market has experienced absorption of 1000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 5.0% annually over the past 5 years. Median household income within a 4-mile radius of the property is approximately $15,000 and has grown 5.3% annually. Employment growth is led by healthcare, logistics, education and professional services sectors.

Employment growth is led by healthcare, logistics, education and professional services sectors. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 6.26% and 6.26%. Average rent is $27 per square foot with parking at a ratio of 21 spaces per 1,000 square feet.

Site Description

Access to the site is provided by 31 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 14.14 acres and is generally level with frontage along Grand Way. Access to the site is provided by 7 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Demographics and Employment

Ironwood Marketplace is located in Boston, MA, a market that has recorded 4.3% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average rent is $27 per square foot with parking at a ratio of 24 spaces per 1,000 square feet. Investor demand for Retail assets in Boston remains strong with recent trades at capitalization rates between 7.74% and 7.74%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Employment growth is led by healthcare, logistics, education and professional services sectors.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. Ironwood Marketplace is located in Boston, MA, a market that has recorded 7.8% population growth over the last five years. Market vacancy for comparable Retail product stands at 11.0%, down from 5.5% two years ago. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Access and Utilities

The site contains approximately 41.41 acres and is generally level with frontage along Grand Way. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 27 curb cuts and the property is served by municipal water and sanitary sewer.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 22 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 42.42 acres and is generally level with frontage along Grand Way.

Supply and Demand

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Retail product stands at 10.5%, down from 7.5% two years ago. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Median household income within a 3-mile radius of the property is approximately $118,000 and has grown 4.7% annually.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Construction Details

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $27 per square foot with parking at a ratio of 45 spaces per 1,000 square feet.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $27 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Improvements Description

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 15 stories. Average rent is $27 per square foot with parking at a ratio of 41 spaces per 1,000 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 5 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Mechanical systems include rooftop package units and central plant equipment of varying age. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 9 years and are in average to good condition. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Improvements Description

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 6-year membrane system with an estimated remaining useful life of 6 years. Ironwood Marketplace was originally constructed in 1999 and consists of 336,000 SF in a building of 19 stories. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $27 per square foot with parking at a ratio of 44 spaces per 1,000 square feet.

Common area interiors have been refreshed within the last 9 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Mechanical systems include rooftop package units and central plant equipment of varying age.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Garnet Crossing	Sacramento, CA	08/10/2026	13	$54,432,864	$162	5.91%	2022
Dunmore Crossing	Cincinnati, OH	02/25/2025	10	$51,263,695	$153	6.57%	1980
Valley Shopping Center	Aurora, CO	08/30/2023	7	$61,592,164	$183	8.10%	1989
Dunmore Shopping Center	Birmingham, AL	03/26/2023	12	$47,998,617	$143	7.94%	2003
Windmill Square	San Antonio, TX	06/04/2025	13	$35,428,549	$105	5.85%	2000
Marlow Shopping Center	Dallas, TX	04/28/2026	11	$65,153,420	$194	7.88%	1995
Osprey Shopping Center	Albany, NY	06/04/2026	8	$29,737,574	$89	7.91%	1969
Amberly Town Center	Atlanta, GA	10/01/2022	18	$58,542,601	$174	6.76%	2019
Brookside Crossing	Louisville, KY	10/22/2024	16	$63,361,128	$189	7.95%	1975
Indigo Marketplace	Minneapolis, MN	01/25/2026	6	$41,946,322	$125	6.90%	1987
Laurel Square	Riverside, CA	12/11/2024	15	$21,994,541	$65	6.77%	1980
Yarrow Crossing	Allentown, PA	10/10/2023	14	$37,386,499	$111	7.23%	2001
Crestline Square	St. Louis, MO	06/04/2026	14	$45,354,704	$135	5.21%	1995
Cypress Marketplace	Orlando, FL	06/28/2026	8	$47,537,594	$141	6.62%	1978
Willow Town Center	Nashville, TN	03/22/2024	17	$27,630,554	$82	5.59%	2004
Calloway Crossing	Madison, WI	05/08/2022	16	$28,876,737	$86	7.81%	2004
Hawthorne Square	Birmingham, AL	04/28/2025	14	$26,053,173	$78	7.95%	2013
Valley Marketplace	Salt Lake City, UT	03/24/2025	9	$51,096,197	$152	5.20%	2023
Jasper Square	Nashville, TN	04/04/2022	10	$45,878,018	$137	7.16%	1968
Cedar Square	Pittsburgh, PA	08/21/2024	10	$60,229,387	$179	5.39%	1971
Thornton Marketplace	Grand Rapids, MI	02/28/2023	16	$36,732,880	$109	7.54%	1997
Aspen Crossing	Pittsburgh, PA	11/24/2022	8	$60,983,878	$181	6.27%	1987
Orchard Town Center	Charlotte, NC	04/07/2024	15	$62,268,123	$185	7.72%	1992
Ironwood Town Center	Cleveland, OH	10/16/2024	13	$67,244,959	$200	5.34%	1997
Glenview Town Center	Savannah, GA	12/25/2025	9	$57,282,521	$170	5.83%	1971
Banyan Marketplace	Houston, TX	06/02/2025	10	$58,105,899	$173	7.91%	1985
Bluestone Square	Omaha, NE	07/17/2022	6	$30,779,112	$92	7.32%	1981
Union Crossing	Dallas, TX	08/08/2023	11	$39,983,044	$119	5.46%	1975
Bluestone Crossing	Tampa, FL	03/24/2026	15	$65,504,317	$195	7.89%	2013
Everett Marketplace	Philadelphia, PA	10/11/2022	10	$65,874,292	$196	6.25%	1970
Ironwood Square	Riverside, CA	06/28/2026	14	$48,417,043	$144	5.24%	2018
Redwood Town Center	Raleigh, NC	03/03/2022	14	$32,154,980	$96	5.51%	2020
Garnet Shopping Center	Houston, TX	01/05/2025	13	$51,209,847	$152	5.03%	1978
Foxglove Crossing	Columbus, OH	01/11/2022	14	$33,476,294	$100	5.47%	2023
Quincy Shopping Center	San Diego, CA	02/16/2023	17	$20,809,542	$62	7.01%	1992
Ironwood Town Center	Dallas, TX	04/15/2024	8	$49,267,280	$147	8.15%	2015
Pelican Marketplace	Nashville, TN	11/01/2025	13	$37,611,215	$112	6.28%	1989
Ironwood Town Center	Allentown, PA	01/27/2022	10	$45,227,288	$135	5.05%	2004
Dover Town Center	Kansas City, MO	05/30/2023	16	$25,915,673	$77	5.40%	1968
Dover Crossing	Memphis, TN	10/19/2022	14	$31,591,925	$94	6.58%	1983

Report generated 07/07/2019. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Average rent is $27 per square foot with parking at a ratio of 41 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $187,000 or approximately 33.57 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 6.14x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.07% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Income and Expense Review

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $27 per square foot with parking at a ratio of 44 spaces per 1,000 square feet. The going-in capitalization rate of 6.04% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $130,000, representing a 3.3% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Debt service coverage ratio was 5.65x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $331,000, representing a 11.5% increase over the prior year. Operating expenses totaled $336,000 or approximately 17.48 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.91% reflects the in-place income and the stabilized occupancy assumption.

Valuation Discussion

Effective gross income for the trailing period was $301,000, representing a 7.2% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $365,000 or approximately 44.16 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses.

Effective gross income for the trailing period was $185,000, representing a 8.2% increase over the prior year. Debt service coverage ratio was 5.20x on a trailing basis against a covenant minimum of 1.20x. Average rent is $27 per square foot with parking at a ratio of 26 spaces per 1,000 square feet. The going-in capitalization rate of 5.28% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Cobalt Marketplace	2.7 mi	2019	Suite	$23.74	87.9%	None
Cedar Shopping Center	3.9 mi	1979	1BR	$25.16	92.6%	1 mo. free
Lantern Marketplace	1.8 mi	1979	2BR	$24.97	91.1%	None
Upland Marketplace	4.9 mi	1973	Studio	$27.36	93.5%	$500
Granite Square	1.2 mi	1973	2BR	$29.79	98.0%	None
Lakeshore Crossing	2.4 mi	1979	1BR	$23.88	97.5%	$500
Gatewood Marketplace	2.2 mi	1977	1BR	$30.69	87.9%	1 mo. free
Valley Square	4.8 mi	1995	2BR	$30.57	89.4%	None
Quincy Shopping Center	0.5 mi	1982	Studio	$26.18	92.7%	1 mo. free
Pelican Square	1.0 mi	1994	Inline	$31.70	92.4%	None
Sterling Shopping Center	4.0 mi	2006	Inline	$23.85	95.8%	$500
Redwood Marketplace	2.3 mi	2016	Bay	$23.09	89.0%	None
Whitaker Crossing	1.8 mi	1985	2BR	$32.09	89.6%	1 mo. free
Dover Town Center	2.7 mi	2000	Unit	$31.35	95.5%	None
Wexford Shopping Center	4.1 mi	1979	Suite	$29.84	96.5%	$500
Nautilus Town Center	4.1 mi	1991	Inline	$31.51	88.7%	None
Indigo Town Center	2.5 mi	2001	Suite	$32.19	93.8%	$500
Marlow Marketplace	0.3 mi	1978	Bay	$29.51	90.3%	None
Jasper Crossing	1.2 mi	1993	2BR	$24.76	95.5%	None
Windmill Shopping Center	3.8 mi	1971	Unit	$30.18	92.4%	None
Copper Square	3.7 mi	2016	Unit	$26.74	96.4%	None
Amberly Crossing	0.7 mi	1973	Unit	$28.67	86.5%	1 mo. free
Driftwood Square	4.7 mi	2018	Suite	$32.27	86.4%	$500
Indigo Square	3.4 mi	1980	Studio	$23.01	86.9%	$500
Newport Town Center	2.9 mi	1981	1BR	$28.95	86.4%	None
Bayview Shopping Center	3.1 mi	2003	2BR	$25.52	87.2%	$500
Osprey Marketplace	2.8 mi	2019	Studio	$31.40	91.4%	$500
Nautilus Marketplace	1.3 mi	1979	Studio	$23.80	98.0%	1 mo. free
Highland Marketplace	4.7 mi	1988	Suite	$31.75	92.6%	None
Everett Square	3.8 mi	1983	Unit	$28.54	94.1%	$500
Stonebridge Crossing	2.8 mi	2002	Unit	$31.19	91.8%	1 mo. free
Wexford Crossing	0.6 mi	1988	1BR	$23.63	96.2%	1 mo. free
Meridian Marketplace	3.1 mi	1978	2BR	$29.49	97.9%	1 mo. free
Driftwood Shopping Center	0.7 mi	2010	Suite	$24.73	96.0%	$500
Timberline Square	2.0 mi	1977	Inline	$26.45	91.2%	None
Osprey Town Center	3.0 mi	1996	1BR	$24.27	95.5%	None
Sable Marketplace	3.8 mi	1977	Unit	$30.45	92.1%	$500
Brookside Marketplace	3.8 mi	1989	Bay	$24.05	94.4%	None
Bluestone Shopping Center	2.7 mi	1975	Inline	$23.25	93.8%	$500
Brookside Marketplace	4.5 mi	1975	Suite	$26.82	92.7%	1 mo. free
Ironwood Town Center	4.1 mi	2001	1BR	$23.25	87.9%	None

Report generated 07/07/2019. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Ironwood Marketplace and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on June 9, 2019.

_____

Raymond Schmidt, RPLS

Calloway & Reid Valuation Group

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only